

Answer Key: Week 4 Recitation Movements vs Shifts in Supply and Demand

Concepts

Movement along curve: caused by price changes only. Shift of curve: caused by non-price determinants.

Exercise 1

1. No.
2. No.
3. Both quantity demanded and supplied change.
4. $Q^D = 100 - 6(7) = 58$.

Exercise 2

1. Demand shifts right.
2. Demand shifts left.
3. Demand shifts left.
4. Demand shifts right.

Exercise 3

1. Supply shifts right.
2. Supply shifts left.
3. Supply shifts left.

Exercise 4

$$\frac{dQ^D}{dP} = -6$$

1. $E_D = (-6)(6.25/62.5) = -0.6$
2. At $P = 10$: $Q = 40$, $E_D = -1.5$
3. At $P = 2$: $Q = 88$, $E_D = -0.136$
4. Unit elastic when $P = 100/12 = 8.33$

Exercise 5

$$100 - 6P = 10P - 20 \Rightarrow P = 7.5, \quad Q = 55$$

$$E_S = 10 \times \frac{7.5}{55} = 1.36$$